AGRICULTURAL INCOME
WHAT QUALIFIES?

not every farm is a farm!

Income-tax Law

IN SIMPLE WORDS *Income from Indian land and basic work on it is agricultural and exempt; poultry or dairy alone is not.*

(1) AGRICULTURAL INCOME

Rent or revenue from agricultural land in India; income from agricultural operations on it, including making produce marketable; income from a farm building.

Land must be in India

(2) FARM BUILDING

Building on or near the land, occupied by cultivator or rent-receiver as home, store or outhouse. Land is revenue-assessed, or else outside specified urban limits.

Letting it out for other use: not agricultural

(1) Agricultural income is exempt, but it can raise the tax rate on other income (partial integration).

(2) Three sources: rent from land, income from operations (including making produce marketable), farm building.

(3) Land outside India: not agricultural income; taxable only where Indian taxability rules reach it.

(4) Processing beyond making produce marketable (e.g. sugar from cane) is business income.



Swipe for the summary →

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QUALIFIES OR NOT?

Agricultural Income: What Qualifies

tick the test, then decide

ITEM	TREATMENT	REASON
Rent from farm land in India	Agricultural	Owner need not till it
Sale of produce by grower	Agricultural	Includes making it marketable
Pure poultry / dairy farming	Not agricultural	No basic operations on land
Tea grown and made by grower	Agri 60 : Business 40	Fixed by rules
Rubber / coffee (grown, cured)	Rubber 65:35; coffee 75:25	Agri:Business. Roasted, ground: 60:40

LAND TEST FIRST, LABEL LAST! Land in India plus basic operations (or rent from such land) decides it; the word 'farm' alone does not.

Swipe for a memory trick ⟶

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STUDY TRICK

Agricultural Income: What Qualifies

three R-words do it

RENT, RAISE, ROOF

Rent from Indian farm land, Raise produce by operations on the land, Roof of a farm building. Anything outside these three is not agricultural income.

HOW TO ATTEMPT IT

1 Is the land in India? → 2 Rent or revenue from land? Agri →

3 Basic operations on land done? → 4 Tea/rubber/coffee? Apply split →

5 Beyond marketable? Business

EXAM TIP

Partial integration: net agricultural income above ₹5,000 AND other income above basic exemption limit. Not for companies.

DOUBT BUSTER

If agricultural income is exempt, why does it matter? For individuals, HUFs, AOPs, BOIs and artificial juridical persons, it is added for rate purposes if net agricultural income exceeds ₹5,000 and other income exceeds the basic exemption limit.

Swipe for common mistakes →

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COMMON MISTAKES

Agricultural Income: What Qualifies

farm word, wrong answer

✗ Poultry or dairy farming is agricultural income

✓ Pure poultry/dairy has no basic land operations: not agricultural. Fodder grown on land is.

✗ Sugar made from own cane is wholly agricultural income

✓ Making sugar goes beyond making cane marketable, so that part is business income.

✗ Rent from agricultural land counts only if the owner cultivates

✓ Rent from agricultural land in India is agricultural income even if the owner does not till it.

✗ Any farm house let out gives farm-building income

✓ The building must be occupied by the cultivator or rent-receiver; letting it for other use is not agricultural.

TOMORROW'S CA INTER MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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